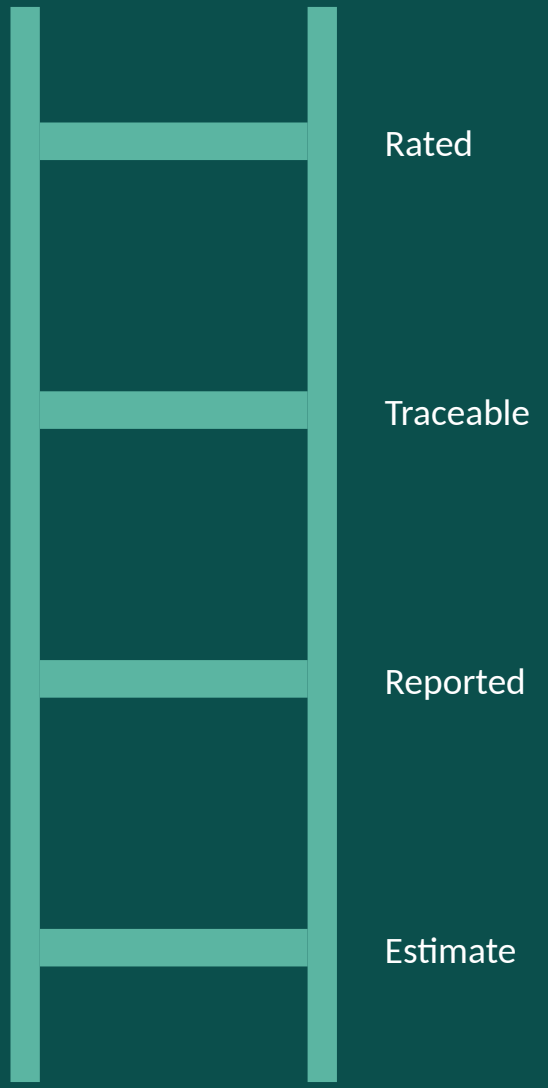
Merit Supplier Ladder

Credible data from the supply chain partners patients can't lose

Team 23 · Elijah Palmer · Nolan Ford · Cameron Boyle

2024 An uncleared syringe from a supplier Merit couldn't see led to a Class II recall of Merit's custom kits.



Merit asks every supplier the same question, so the ones that matter most can't answer it

The data gap sits where risk is highest

1,030 direct suppliers in 42 countries

65% of spend is with the top 78, which are mostly already reporting

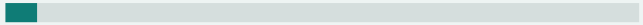
9–12 mo to requalify a supplier, so losing one means patients wait

The gap: small, single-plant makers in Mexico and China

The story is ahead of the numbers

Scope 3 unmeasured: only a 2024 baseline exists

−2% Scope 1+2 vs 2020, against a −40% goal for 2030



0 EcoVadis coverage numbers published

Merit's own 2025 report: Scope 3 from China and Mexico is a top risk

Why now

- New CEO: "responsible supply-chain practices"
- EcoVadis rollout is only a year old
- EU vague-claims ban: Sept 2026
- NHS Scope 1–3 plan: Apr 2027

Source: Case Exh. 2; Merit 2025 Sustainability Report; EU Dir. 2024/825; NHS Net Zero Supplier Roadmap

Neither default fixes the blind spot without breaking something

	A · Mandate everyone	B · Top 78 first	Ladder (ours)
Spend coverage	~ Fast on paper	✓ 65% fast	✓ 65% in month 1
Risk coverage	✗ Shallow, unverified answers	✗ Mexico/China dark for years	✓ Critical suppliers in year 1
Supplier strain	✗ High, so suppliers exit	✓ None	✓ Matched to need
HEART fit	~ Excellence only	~ Weak on Health and Responsibility	✓ All five values

89% average on unverified yes/no supplier surveys, with 40% perfect scores

56% of large Finnish firms dropped suppliers over ESG demands

Source: Case Exh. 5; research/analogues-buyer-programs.md

Sort every supplier with one rule, then help each one climb

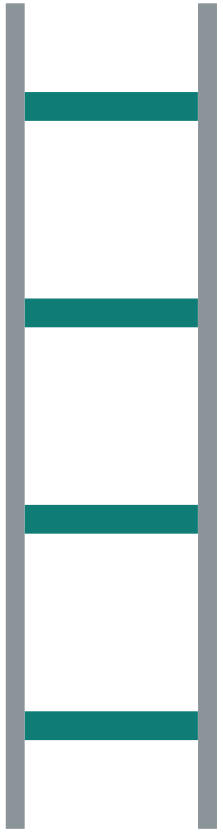
Sort: Switching difficulty × Spend × Country risk × Readiness

	Low readiness	Moderate	High readiness
High power	Critical single-plant makers (MX/CN)	Mid-size specialty, partial reporting	Anchor partners, already reporting
Low power	Small commodity inputs	Regional distributors, packaging	Small, certified via other buyers

- Tier 1 · Anchors (~65)
- Tier 2 · Critical & stuck (~30–50)
- Tier 3 · Long tail (~900)

Counts are estimates; Merit's vendor master sets them

Climb: four rungs of evidence



3 · Rated
Full EcoVadis score by year 2, third-party reviewed

2 · Traceable
Emissions pack: records, method, gaps; supplier signs off

1 · Reported
Vitals (a ≤30-min questionnaire) plus first figures

0 · Estimate
Merit's spend-based Scope 3 estimate, labeled as one

A rating covers labor, ethics and environmental management. Emissions data feeds Scope 3. Two asks, never confused.

Source: Case Exh. 3; GHG Protocol Scope 3 Cat. 1; EcoVadis Vitals guide

We ask what's blocking each supplier, then remove that barrier

Barrier found by the readiness request	Merit's help (from a capped fund)
Reports already exist	**Permission to share + desk review**
Records exist, format unclear	**Bilingual templates and instructions**
Calculations are hard	**Time-boxed hours from an accredited specialist**
Big gaps at a critical supplier	**Named Merit relationship owner + targeted visit**

Merit pays the assessment

Tier 2 invitation and subscription covered

One scorecard for all

Cuts the 3–5 audits a year they already face

Earlier payment

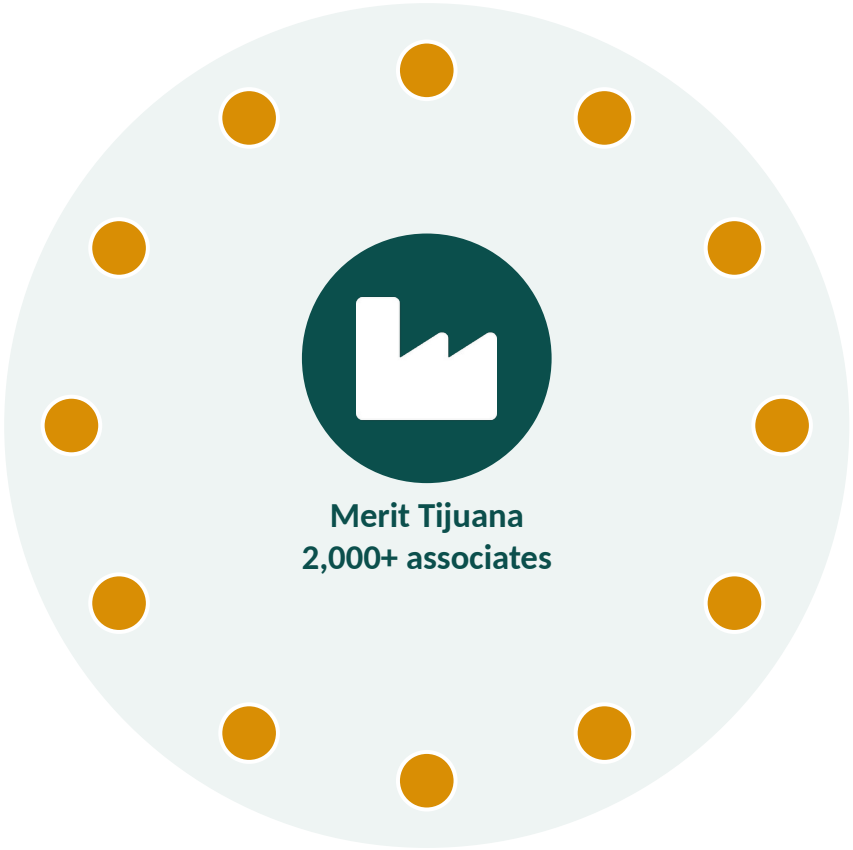
Fee-free NAFIN reverse factoring for completers

40-hour reform help

Mexico's 48→40-hour week is their 2026 problem

Source: CDP/HSBC 2024; WRAP 2023 audit survey; NAFIN Cadenas Productivas

We start in Tijuana in December 2026, where Merit is strongest



● 12 pilot suppliers, chosen by the rule (positions illustrative)

Who
12 sole-source suppliers near Merit's largest plant

Delivery
A coordinator in Procurement, plus accredited consultants for specialist hours

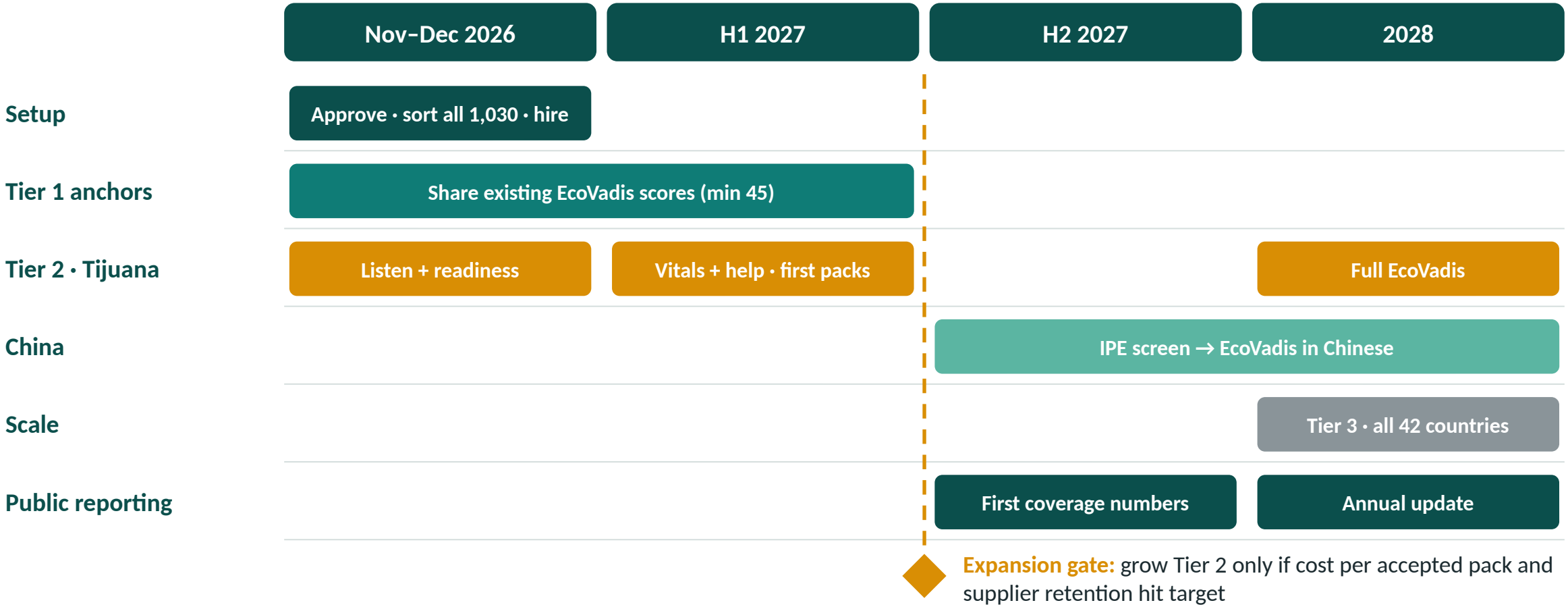
Model
IFC's Mexico supplier development program (automotive today; we ask for a medtech track)

China · 2027
IPE Blue Map screen, then EcoVadis in Chinese. Philips × Zhejiang Haishun shows the way

Source: Merit 2025 Sustainability Report p.23; IFC–INA–SE release Aug 2025; Philips Dec 2021

Pilot in 2026, full coverage by 2028, expanding only when results hold





Owners VP ESG (sponsor) · Procurement · Sustainability data lead · Quality · Finance · Comms

Source: Team plan; pack timing (4–8 weeks after work starts) is a planning assumption

About $0.6M a year, capped, and it pays back if it catches one failure every four years

$0.6M

a year, capped: about 0.2% of non-GAAP operating income (~$308M)

1 in 4 yrs

Breakeven: catch one ~$2.5M supplier failure earlier (est.)

38%

of a year's earnings lost to supply shocks per decade (medtech average)

Annual cost build (estimate, $k)



Margin target holds
20–22% target; Q2 2026 was 22.6%

Cash target already met
Free cash flow ≈ $401M vs $400M goal

Two cost builds agree
~$4.5k vs ~$6k per supported supplier

Source: Merit 2025 10-K, Q2 2026 results; McKinsey medtech resilience; team cost model (backup B3)

We measure risk coverage, not just spend coverage

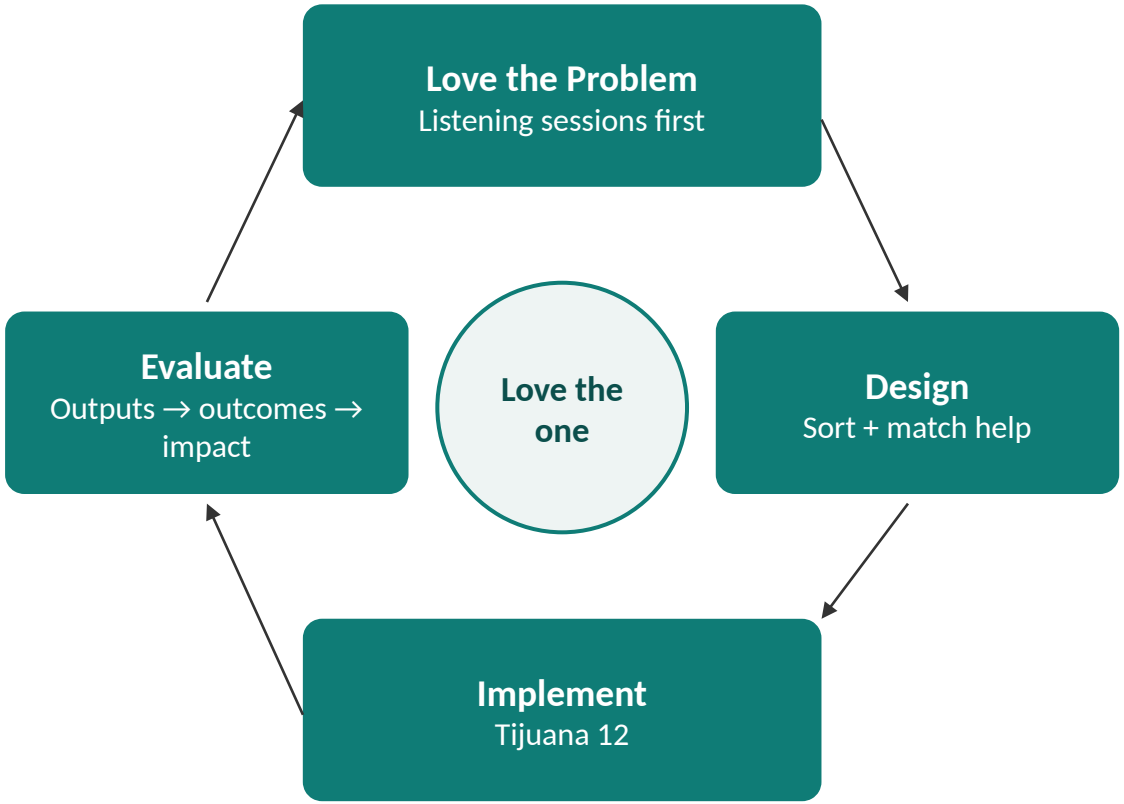


Metric	2027	2028	Benchmark
Direct spend with a rating	**85%**	**90%**	Stryker: 85% target by 2027
Critical suppliers with a traceable pack	**60%**	**90%**	**No peer reports this**
Tier 2 supplier retention	**100%**	**100%**	Attrition tripwire
Pilot workers inside the legal week, with weekly pay held	**Baseline**	**Rising**	vs a wait-listed comparison group
Supplier-caused backorders on Tier 2 parts	**→ 0**	**0**	FDA 506J shortage notices

Peers report spend. We also report the suppliers patients depend on.

Source: Stryker 2024 proxy; research/impact-measurement.md

Built on the Social Impact Cycle, with tripwires for what could go wrong



Harm → tripwire

- **Dependency on Merit's help** → time-boxed, capped support
- **Paperwork without practice** → third-party evidence review
- **Supplier exits or passes on cost** → retention 100%; no Y1 penalties
- **Hour cuts lower take-home pay** → weekly pay per worker must hold
- **Hidden subcontracting** → spot checks + worker voice

Unmitigated harm → Mitigating harm → Internal initiatives → Offsets / philanthropy → Prosocial marketing → **Socially strategic**

Source: Ballard Center Social Impact Cycle and Journey; Wharton on TOMS

Say only what the data supports, and ask the Board for three things

Audience	What Merit shares	When
Suppliers	Their tier, the ask, the support, the timeline, in their language	Dec 2026
Hospitals & GPOs	Scope 1/2 + plan; coverage by spend and by critical suppliers	2027 · NHS by Apr 2027
Board & investors	Cost vs cap, coverage KPIs, risk	Quarterly
Associates	Procurement and Quality roles in the program	Launch + annual

Guardrails

- Publish what isn't known yet (Scope 3: % supplier data vs % estimate)
- No "climate neutral" or vague claims (EU ban, Sept 2026; FTC Green Guides)
- "Working with our partners," never "our suppliers are sustainable"

The ask

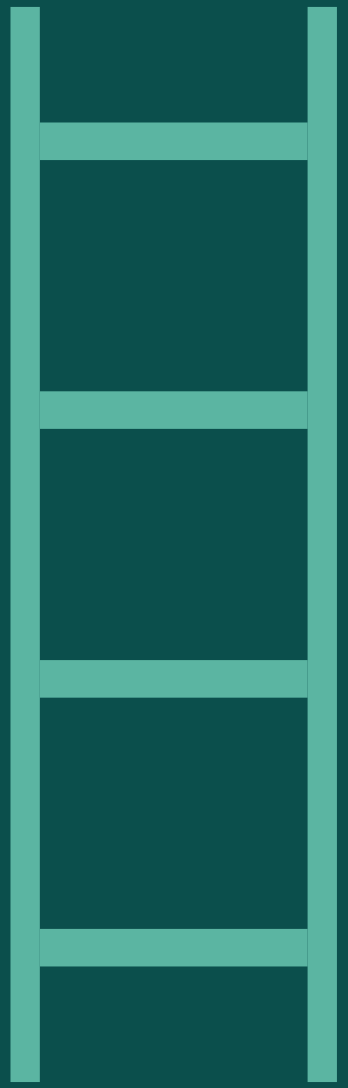
1. **Approve the sorting rule**
2. **Fund a capped ~$0.6M a year**
3. **Start Tijuana in Dec 2026**

The next Shenli gets caught earlier.

Source: EU Dir. 2024/825; FTC Green Guides; NHS Net Zero Supplier Roadmap

Questions

Sort every supplier with one rule, then help each one climb



B1 · How the sorting rule works

Factor	Scores 1 (low)	Scores 3 (high)
Switching difficulty	Many qualified alternates	Sole-source; 9–12 months to requalify
Spend	Bottom of the spend list	In the top 78
Country risk	Low-risk country	Mexico, China (Merit's own climate-risk research)
Readiness	Already rated on EcoVadis	No ESG staff, no emissions tracking

Priority = Switching × Spend × Country risk (1–27). Tier 2 = priority ≥ 8 and readiness low/moderate · Tier 1 = ready (already rated) · Tier 3 = everyone else. Thresholds are illustrative.

Example (illustrative)	Switch	Spend	Country	Priority	Readiness	Tier
Tijuana molded-part maker, sole-source	3	2	3	**18**	Low	**Tier 2**
Large public US resin supplier	2	3	1	**6**	High	**Tier 1**
Regional packaging supplier	1	1	2	**2**	Moderate	**Tier 3**

Source: Case Exh. 2–3; team method

B2 · What peers do

Company	Approach	Result or target
Stryker	Third-party ESG assessments	85% of direct spend by 2027 (~59% in 2024)
BD	Desktop ESG assessments	76% of spend assessed (FY24); goal 90% of eligible spend
Abbott	Risk screening + due diligence	>90% of direct-material spend screened
J&J	EcoVadis for program suppliers + CDP disclosure	Assessment and emissions kept as separate asks
Philips	Four maturity categories, tailored support	504 suppliers in CDP program, 88% response
Medtronic	Playbook: calculate → target → report → reduce	Support modules by supplier maturity
Schneider	Zero Carbon Project, ~1,000 suppliers	700+ measured a footprint for the first time; 950 disclose

Source: Company sustainability reports and filings; research/outside-research.md; Cameron's benchmark file

B3 · Cost build and sensitivity

Line item	Basis	$k / yr
Tier-2 support	50 × ~$4.5k (subscription + specialist hours)	225
Coordinators	1 Utah + 1 Tijuana, loaded	165
Impact measurement	Worker survey, IMSS data, comparison group	130
Partners + contingency	Translation, workshops, buffer	100
Total		**~620**

Tier 2 size	Cost / yr	% op. income
25 suppliers	$0.51M	0.16%
50 suppliers	**$0.62M**	**0.20%**
100 suppliers	$0.85M	0.27%

- Cross-check: Nolan's bottom-up model ≈ $73k for 12 intensive suppliers (~$6k each)
- Breakeven: $0.62M ÷ ~$2.5M per sole-source failure (assumption) ≈ one caught earlier every 4 years
- Scale of a failure: Merit revenue ≈ $4.15M a day; Baxter's one hurricane-hit plant ≈ $200M of lost sales
- Operating income base ~$308M (non-GAAP, 2025); refresh with Q3 2026 results

Source: research/financials-value.md; supplier-support-budget-and-decisions.md

B4 · China plan (phase 2, 2027)

Screen now: IPE Blue Map
Beijing NGO database of government and company environmental records. Flags public violations; it is not a carbon inventory or a labor audit.

Rate later: EcoVadis in Chinese
Plus local consultant hours for the critical few, from 2027.

Model: Philips × Zhejiang Haishun
Collaboration over auditing; 120+ improvement opportunities found (savings were projected).

Not RBA
Placed on China's MOFCOM countermeasure list (Aug 2026). Single source; verify before citing.

UFLPA screening from day 1
Check every China supplier against the entity list.

Source: IPE; Philips Dec 2021; research/analogues-mexico-china.md

B5 · EcoVadis mechanics

Vitals

- ≤30-minute questionnaire, under 20 questions, 14 languages
- Risk profile; the on-ramp for small suppliers
- Price needs a quote

Full rating

- Environment, labor and human rights, ethics, sustainable procurement
- Evidence reviewed by EcoVadis analysts; questionnaire-only documents are rejected
- Score 0–100; we ask for ≥45

Carbon Action Manager

- Supplier emissions figures with reliability levels
- Feeds Scope 3; a rating is not emissions data
- Confirm Merit's subscription and exports

Source: EcoVadis support center; supplier-emissions-data-and-ecovadis.md

B6 · Mexico specifics

Topic	What's true	How we use it
IFC–INA–SE supplier program	Automotive anchor-firm program (Aug 2025): diagnostics, training, mentoring	Model it; ask IFC for a medtech track. Access unconfirmed
NAFIN Cadenas Productivas	Fee-free reverse factoring priced off the buyer's credit. SME loans ~14.4% vs TIIE 6.76%	Earlier payment for completers. The ESG link is our design
Labor reform	Legal week 48 → 46 hrs (2027) → 40 hrs (2030)	Help suppliers comply; tripwire: weekly pay holds
Local reporting	SEMARNAT RENE (threshold-based), NIF/NIS, CNBV: applies case by case	Check which applies per supplier; none replaces EcoVadis
Local help	Baja California certification reimbursement (conditional); SGS / KPMG Mexico; medical-device cluster	Bonuses, not load-bearing

Source: research/analogues-mexico-china.md; supplier-emissions-data-and-ecovadis.md

B7 · Scope 3 method: estimate first, then replace with supplier data

Spend-based (now)
Spend × sector emission factor. Labeled as an estimate.

Hybrid (2027)
Supplier activity data (kWh, fuel) for critical and top suppliers.

Supplier-specific
Traceable packs, allocated to what Merit actually buys.

- A supplier's whole footprint isn't Merit's: allocate by what Merit buys
- Missing data isn't zero: keep the estimate until a supplier figure replaces it
- Report the mix every year: % from supplier data vs % estimated
- A traceable calculation can be checked; independent assurance is a separate, later step

Source: GHG Protocol Scope 3 Category 1 guidance; supplier-emissions-data-and-ecovadis.md

B8 · How the Ladder reflects HEART

H — **Health**
Workers in supplier plants are protected, and devices keep reaching patients

E — **Excellence**
The same bar for every partner, phased in

A — **Agility**
Country-by-country risk is built into the sorting rule

R — **Responsibility**
A real Scope 3 baseline, reported honestly, gaps included

T — **Teamwork**
"We listen": the readiness request and listening sessions come first

Source: Merit Vision & Values; case

B9 · Sources

- Merit Medical case, BFG 2026 (Exhibits 2, 3, 5)
- Merit 2025 Sustainability Report; 2025 10-K; Q2 2026 results
- FDA warning letter to Jiangsu Shenli (Mar 2024); recall Z-database (Jun 2024)
- EU Directive 2024/825 (empowering consumers); FTC Green Guides
- NHS Net Zero Supplier Roadmap
- CDP/HSBC, Strengthening the Chain (2024)
- McKinsey, medtech supply-chain resilience
- Stryker 2024 proxy; BD, Abbott, J&J, Philips, Medtronic sustainability reports
- Schneider Electric Zero Carbon Project
- GHG Protocol Scope 3 guidance
- EcoVadis Vitals guide and rating methodology
- IFC–INA–SE supplier program release (Aug 2025)
- NAFIN Cadenas Productivas
- WRAP audit-burden survey (2023)
- Ballard Center Social Impact Cycle; Wharton on TOMS
- Full list: research/sources.txt in the team repo